

2000–2009	Reuters-CRB	S&P GSCI	DJ-UBS	T-Bills
Annualized return	4.7%	5.0%	7.1%	2.9%

There is no way to know which commodities index strategy will outperform the others in the future. In the long term, I anticipate that all the total return indexes are likely to result in similar performance, which should be something close to the return of Treasury bills.

Let's examine the feasibility of investing in the major commodities total return indexes. The published returns of the indexes do not reflect the return to. There are fees, tax issues. and fund capacity issues.

The cost of investing in commodities can be very high. Commodities and futures funds have management fees and perhaps sales commissions. The fees on some products reach 2 percent per year in addition to a sales charge that reach 5.75 percent. ETFs have helped drive down costs by introducing dozens of new products to the market during the last run-up in commodities prices. However, the cost of a commodities index fund is considerably more than the cost of an equity or bond index funds. [Table 10-4](#) at the end of this chapter lists a few reasonably priced commodity mutual funds and ETFs.

Commodity funds are extremely tax inefficient. The amount of turnover in these funds generates a lot of distributable income. Much of the gains in a futures-related fund are treated as ordinary income for tax purposes. Gold and other precious metals are treated as a collectibles and are taxed at a higher capital gains rate than common stock gains. Investors in a high-income tax bracket should consider the after-tax returns before investing or hold these assets only in a tax-deferred retirement account.

One alternative to paying annual taxes on a commodities fund is to invest in an exchange-traded note (ETN). These debt-based investments issued by banks are designed to track the performance of commodities indexes without the burden of annual taxes. There are other risks with ETNs that are not found in mutual funds and ETFs. You will need to read more about these products before investing because there is credit risk from the issuer.